

percentage is high, then you may wish to adjust the stop placement so you won't lose too much. However, with long-term trades like this one, you may wish to *not* place a stop. Just monitor the stock periodically and sell if the stock shows weakness or if the fundamentals/technicals deteriorate enough to indicate a sale would be prudent.

Ride the bounce. You can trade a diving board pattern like you do a cloudbank pattern. The bottom of the board (the part before the plunge) would be the target. Make your entry after the plunge ends, if you can tell when that occurs (good luck with that!). The difference between those two points will be your profit. If it's high enough to risk a trade, buy the stock and hold until price returns to the board.

Lower plunge. If the stock makes a second drop, one that takes price down to or below the first plunge, avoid trading the pattern. It has a higher likelihood of failing. The Sample Trade shows an example of this at point B1 in [Figure 25.5](#).

Buy breakout. To enter the trade in a timely manner, find the highest peak in the board portion of the diving board pattern. Set a buy stop a penny above this price and wait for the order to hit. Expect to hold the stock for months to a year or two to achieve the full potential of the diving board pattern. If the stock doesn't go up, then don't buy it (that's a joke).

Bounce Trading

[Table 25.11](#) shows statistics that may help you decide if a bounce trade is worthwhile. The table applies only to bull markets.

How many diving board patterns don't see price rise to the board, that is, they breakout downward, not upward? Answer: 29% (not shown in the table). If you try to buy after the plunge ends and hope to see price return to the bottom of the board, you'll be wrong 29% of the time, on average, if your trade follows the patterns I found. That means you should be able to make money 71% of the time using this setup. You'll want to place a stop below the bottom of the plunge and consider adjusting it as price rises.

Plunge depth versus performance. I measured from the lowest price in the board to the plunge low for all patterns in bull markets, sorted by breakout direction. The table shows the median (midrange) plunge (14%,